

# Agri-Horticulture Cold-Chain Logistics Report

A sector brief on Kenya's perishable-produce logistics opportunity, from farm-gate cooling to export reliability and financing readiness.

## EXECUTIVE SUMMARY

What the reader should understand before going further

Cold-chain investment is moving from nice-to-have infrastructure to a competitiveness requirement. The investable edge is utilization, energy reliability, route density, quality assurance, and buyer-linked offtake.

### 01 Evidence-led

Verified claims and visible assumptions

### 02 Risk-first

Risks stated beside the opportunity

### 03 Decision-ready

Analysis tied to practical action

#### BRAND

Bengula Inc

#### PREPARED

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#### USE

Client education

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## Sector Thesis

Kenya's horticulture, dairy, fish, and fresh-food systems lose value when cooling is too far from the farm, too expensive to run, or disconnected from buyers. The strongest projects in 2026 are modular, energy-aware, buyer-linked, and built around measurable utilization rather than cold-room capacity alone.

A cold room is not the business model. The business model is reliable throughput: producer aggregation, grading, temperature logs, route planning, buyer contracts, and payment discipline.

## Market Drivers

| Driver                 | Current signal                                                                                                                    | Investment implication                                                                                 |
|------------------------|-----------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| Post-harvest loss      | Kenya-focused cold-chain programmes cite high fresh-produce losses where affordable cooling is unavailable close to production.   | Farm-gate and aggregation-point cooling can unlock value before produce reaches urban or export nodes. |
| Export pressure        | Flower exporters are seeking new markets while facing freight cost and logistics disruption pressure.                             | Exporters need quality assurance, temperature proof, and routing flexibility.                          |
| Agro-processing policy | Invest Kenya's 2026 sector pack positions agro-processing, fruit, vegetables, logistics, and value addition as investable themes. | Cold chain should be packaged with processing, packaging, and market access.                           |
| Energy transition      | Solar and hybrid systems reduce diesel exposure and improve uptime in rural nodes.                                                | Finance models must consider capex, maintenance, battery replacement, and utilization ramp-up.         |
| Data visibility        | Sensors and digital logs are becoming part of buyer assurance and insurance conversations.                                        | Temperature records can improve claims, pricing, and buyer confidence.                                 |

## Project Bankability Checklist

- Anchor demand: signed buyer, exporter, processor, cooperative, or distributor commitments.
- Utilization model: daily tonnage assumptions by crop, season, price, and route.
- Energy plan: solar, grid, generator, battery, maintenance, and uptime responsibilities.
- Quality system: grading, crates, pre-cooling standards, temperature logs, and rejection process.
- Working capital: farmer payment timing, buyer payment timing, spoilage reserve, and insurance.

## Financing Structures

### Asset Finance

Suitable for solar refrigeration units, reefer trucks, crates, and monitoring hardware when utilization is predictable and collateral can be identified.

### Receivables Finance

Useful where exporters, processors, or institutional buyers create verifiable invoices and repeat payment flows.

### Cooperative/SPV Pool

Works when farmers or investors share infrastructure, but requires strong governance, transparent pricing, and independent accounts.

### Blended Capital

Appropriate for rural nodes where grant, guarantee, or concessional funds can absorb early utilization risk.

## 90-Day Pilot Plan

- 1 Select one crop corridor with recurring losses and a named buyer.
- 2 Measure baseline rejection, spoilage, price discounting, and transport delays for two harvest cycles.
- 3 Install or contract cooling capacity only after demand and operator accountability are clear.

- 4 Track temperature, volume, revenue, loss reduction, energy cost, and farmer payment timing weekly.
- 5 Convert pilot data into a lending memo: capex, utilization, margins, downside case, and expansion trigger.

Red flag: capacity-first projects with no buyer contract, no utilization floor, weak maintenance plan, or unclear farmer-payment process are vulnerable even when the technology is good.

## Selected Sources

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**Kenya News Agency, flower exports and freight pressure, June 2026**

<https://www.kenyanews.go.ke/kenyan-flower-industry-eyes-new-markets-amid-rising-export-costs/>

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